

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$16.82 ▲ 1.60%

12M Price Target
\$22.00

52-Week Range
\$12.08 – \$58.15

Market Cap
\$5.59B

RGTI: Quantum Hype Cools, Waiting for Federal Catalyst

WHAT HAPPENED

- Stock is bouncing +1.6% today but that's a dead-cat move — RGTI dropped from \$18.68 to \$16.55 over the past week (roughly -11%), and today's volume is only 7M vs. 25M+ on the down days. Light-volume bounces after heavy-volume selling usually mean the sellers are just taking a breather, not that buyers are stepping in with conviction.
- The Quantinuum IPO (Honeywell's quantum spinoff) is stealing oxygen — Wall Street is piling into the "premium" quantum name, which drains capital from RGTI. Plus that 24/7 Wall St. piece calling quantum a "narrative bubble" doesn't help sentiment.

WHY IT MATTERS

Here's what's really going on: RGTI is stuck at 10% of its 52-week range (\$12-\$58), which tells you the euphoria from late 2025 has fully unwound. The director selling \$4.3M worth of stock in June at \$20-21 is a real tell — insiders don't dump into weakness unless they think the stock is fully valued for now, and Ray Johnson's cluster of sales right before the drop looks prescient. But here's the flip side: institutions still own 56% (BlackRock + Vanguard together hold ~18%), so this isn't a broken stock — it's a de-rating while the market waits for the next federal catalyst. The unusual call buying at \$13.50-\$15.50 strikes suggests some traders are betting on a bounce off these levels, but the put/call ratio at 1.01 says the smart money is genuinely torn.

POLICY & POLITICAL WATCH

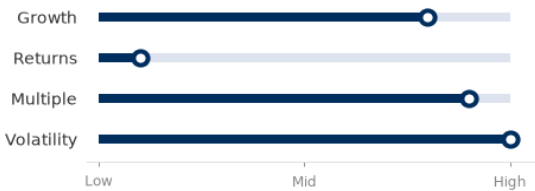
The big one to watch: the ****National Quantum Initiative Reauthorization Act**** — the original 2018 law expired and Congress has been dragging its feet on the renewal, which would authorize ~\$2.7B in quantum R&D funding through 2028. If it passes this summer/fall, RGTI is a direct beneficiary because they already have DARPA and Air Force Research Lab contracts. Also watch the ****CHIPS Act quantum carve-outs**** and any export controls on quantum tech to China — tighter export rules actually **HELP** domestic players like RGTI by locking in US government demand, while the administration's push to onshore critical tech is a structural tailwind.

IS IT EXPENSIVE?

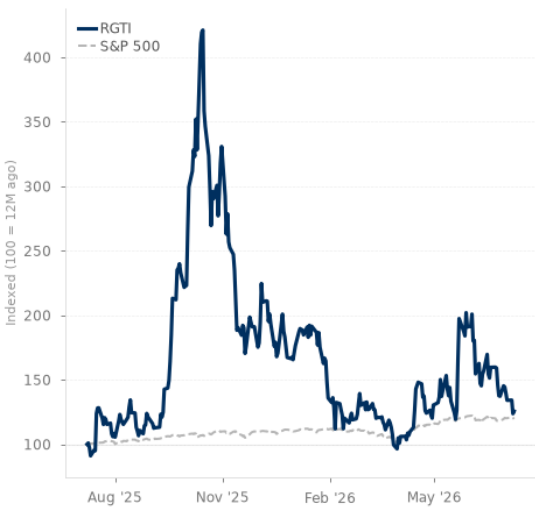
Key Data

Price (USD)	\$16.82
12M Price Target	\$22.00
Upside / (Downside)	+30.8%
Market Cap	\$5.59B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.28)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$20.00	\$17.00	\$13.00
6 Months	\$28.00	\$20.00	\$11.00
1 Year	\$38.00	\$22.00	\$9.00
2 Years	\$55.00	\$30.00	\$7.00
5 Years	\$120.00	\$45.00	\$5.00
10 Years	\$300.00	\$80.00	\$3.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.8% week) is ripping on geopolitical risk premium and the administration's drill-baby-drill posture. Consumer Staples showing defensive rotation — investors getting nervous.

COOLING OFF: Technology -6% on the week is the story — this is a broad de-risking from high-multiple growth, and quantum is the most speculative corner of tech. Real Estate weak on rate expectations staying higher-for-longer.

ROTATION WATCH: Money is fleeing speculative tech into energy and staples — classic risk-off rotation. Until tech stabilizes, RGTI has a headwind regardless of company-specific news.

RELATED PLAY: If you want quantum exposure with better balance sheet, IBM has quantum optionality inside a profitable business. For pure speculation with better catalysts, watch IONQ which has more diversified government contracts.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Annealing-based quantum has commercial revenue today — that's why they're getting relative bids while gate-based names struggle.
- IBM (IBM): Boring but working — quantum is a call option inside a cash-generative business, exactly what the market wants right now.

RGTI CONTEXT: RGTI is lagging its quantum peer group — trading at 10% of its 52-week range while QBTS and IONQ hold up better. That relative weakness suggests either RGTI-specific concerns (execution, cash burn) or that it's the highest-beta name in the group and gets sold first in risk-off tape. Either way, wait for it to stop underperforming before adding.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I like the long-term quantum thesis but the setup right now is unfavorable: insider selling, tech sector weakness, and no near-term catalyst.

POSITION SIZE: 1-2% max — this is a speculative sleeve position, not a core holding. The 52-week range of \$12-\$58 tells you everything about the volatility.

ENTRY POINTS: I'd wait for \$13-14 (near 52-week lows) or a confirmed breakout above \$20 with volume. Chasing at \$16.82 on 7M volume is buying into a bounce, not a trend.

TIME HORIZON: 18-36 months — the catalyst is federal quantum funding renewal + technical milestones. This isn't a quarterly earnings story.

WHEN TO BAIL: If they announce a share offering below \$12, if the Quantum Initiative reauthorization fails, or if they miss their 2026 qubit fidelity targets — any of those three and I'm out.

HEDGING: If you own RGTI, consider owning a bit of a profitable tech name (like IBM) alongside it — that way if the "speculative tech is dead" narrative takes hold, you're not entirely exposed. Or just size small enough that a 50% drawdown doesn't ruin your week.